

## MEESHO — CASE STUDY RESPONSE

# Why Tier-2 Repeat Orders Fell 15% — and Why the Dashboard Almost Hid It

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## 1. Reading the Dashboard Critically

Two numbers on this dashboard are being celebrated — MAU and new user acquisition — and both of them are inputs, not outcomes. Repeat orders is the outcome that has actually reversed. Read in isolation, each metric can be explained away; read together, they describe one mechanism: more water is being poured into the top of the funnel while a growing share of it drains out before it completes even one repeat cycle.

| Metric                        | Value                    | What it actually signals                                                                                                                                                                                            |
|-------------------------------|--------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Monthly Active Users (Tier-2) | 4.2M, +11% QoQ           | Top-of-funnel size, not health. Rising MAU can mask a widening leak: a bigger active base looks reassuring even while a growing fraction of it never returns.                                                       |
| New User Acquisition (Tier-2) | +18% QoQ                 | An input metric, and part of the cover story: the metric leadership is being shown as “good news” is the same one accelerating the leak, since more first-timers means more exposure to whatever is breaking trust. |
| Repeat Orders (Tier-2)        | -15% QoQ                 | The one number that actually matters. This is the two-year growth engine reversing, not a side metric.                                                                                                              |
| Average Session Time          | 6.4 min, flat QoQ        | Looks neutral, but paired with rising abandonment it's a quiet red flag: the same amount of browsing is now converting less often.                                                                                  |
| Cart Abandonment Rate         | +22% QoQ                 | A leading indicator of friction right at the purchase decision — pricing, payment, or delivery-cost surprise, or hesitation at the trust moment.                                                                    |
| Average Order Value           | -9% QoQ                  | Customers who do buy are committing less per basket — consistent with tentative, lower-confidence buying, not routine seasonal variation.                                                                           |
| Delivery Complaint Tickets    | +31% in select pin codes | The most concrete, specific, causally suggestive number on the sheet — a localized operational failure, not a vague sentiment shift.                                                                                |
| Loyalty Feature Adoption      | 8% of eligible users     | The one lever explicitly built to drive repeat behaviour is barely being touched.                                                                                                                                   |
| Orders Using Loyalty Points   | 2% of total orders       | Confirms the loyalty program is not currently functioning as a retention mechanism at all.                                                                                                                          |

**MAU and acquisition growth are literally the numerator of the same system whose denominator — repeat behaviour — is shrinking. A platform can grow its active base while becoming structurally worse at keeping any given user, and that is exactly what this dashboard shows once the metrics are read as one system instead of nine separate lines.**

## 2. Where in the Journey Is the Drop Happening?

The dashboard doesn't report order-sequence data directly, so this has to be reasoned from the strongest available proxy signals rather than read off a chart.

- The delivery-complaint spike is both severe (+31%) and localized (“select pin codes”) — the most specific, causally suggestive clue on the sheet. For a low-margin, trust-dependent reseller platform, a bad first delivery is disproportionately damaging, because there is no existing habit or loyalty yet to absorb the disappointment.
- New user acquisition is up 18% QoQ — a materially larger wave of first-time buyers than prior quarters. If a disproportionate share of that wave landed in the complaint-heavy pin codes, the customers most exposed to the failure are precisely the ones who haven't placed a second order yet.
- Rising cart abandonment (+22%) shows friction broadly at checkout, but on its own doesn't distinguish new customers from returning ones — it's a funnel-wide signal, not a journey-stage-specific one.
- Falling AOV (-9%) is more consistent with returning customers ordering cautiously — smaller baskets, testing the platform again rather than committing — which suggests a secondary, weaker erosion further down the funnel as well.

**Working conclusion: the strongest evidence points at the first-order-to-second-order transition — new Tier-2 customers hitting delivery failures before they ever get to a second order. There is a weaker secondary signal of erosion further down the funnel (falling AOV among likely-returning customers). This is a prioritized hypothesis based on the sharpest available clue, not a proven fact — the dashboard alone cannot cleanly separate “never came back after order 1” from “came back once but is now pulling away.” Section 3 names exactly what data would settle this.**

## 3. Hypotheses and the Data Needed to Test Them

### Hypothesis 1 — Regional delivery failures are destroying first-order trust

Delivery complaints are up 31%, concentrated in specific pin codes, on a platform whose entire value proposition to price-sensitive Tier-2/3 shoppers is reliability. A bad first delivery is disproportionately costly here — there's no accumulated trust yet to cushion it.

- Data needed: repeat-order rate segmented by pin code, cross-referenced against the complaint-heavy list; on-time-delivery and damage rates by region this quarter vs. last; whether affected pin codes are newly-expanded delivery zones (a rollout-quality issue) or long-served ones (a degrading-service issue).

### Hypothesis 2 — The metric is diluted by the acquisition surge itself, not a true retention decline

New user acquisition is up 18% QoQ. If “repeat orders” is measured against this quarter's blended user base, a large influx of brand-new users who simply haven't had time to place a second order yet can drag the aggregate number down even if older cohorts are retaining exactly as well as before.

- Data needed: cohort-based retention curves — % of each quarterly cohort placing a 2nd order within 30/60/90 days, compared across at least the last four quarters, not just this quarter's blended aggregate; time-to-second-order distribution.

### Hypothesis 3 — Checkout and payment friction is suppressing conversion broadly

Cart abandonment (+22%) and falling AOV (-9%) both point at something breaking at or near the point of purchase — a different failure point in the journey than delivery, which happens after the sale is already made.

- Data needed: abandonment broken down by funnel stage (browse → cart → checkout → payment), split by new vs. returning users; payment failure/decline rates by method (COD vs. UPI/cards); whether delivery fees or minimum order values changed this quarter.

### Hypothesis 4 — There is currently no active force pulling anyone toward a second order

Loyalty adoption sits at 8%, and only 2% of orders use points — the one mechanism explicitly designed to drive repeat behaviour isn't functioning. The platform may be relying entirely on organic habit formation, which is a fragile retention strategy on its own, especially as competing reseller and social-commerce apps sharpen their offers.

- Data needed: why adoption is only 8% (enrollment friction, awareness, redemption complexity); competitive intelligence on what else is being offered to the same Tier-2/3 shoppers right after their first purchase.

## 4. Summary for Leadership

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### What we know

Tier-2 repeat orders fell 15% this quarter even as MAU and new acquisitions both grew by double digits — the headline numbers the growth team has been reporting are currently masking the platform's actual health, not reflecting it. The most specific and actionable clue available is a 31% spike in delivery complaints concentrated in a subset of pin codes, landing on top of a much larger wave of first-time buyers. That combination points most likely at customers churning between their first and second order due to fulfilment failures — though a broader checkout-friction problem, and a purely mathematical dilution effect from the acquisition surge, remain live possibilities that haven't been ruled out.

### What we don't know yet

- Which specific pin codes and delivery partners are driving the complaint spike.
- Whether retention has genuinely worsened cohort-by-cohort, or whether faster acquisition is mechanically dragging down a blended metric.
- Exactly where in the funnel (browse, cart, or payment) abandonment is concentrated, and whether it differs for new vs. returning customers.

### Recommended next step

**Before funding any new retention campaign or loyalty redesign, run a one-to-two week diagnostic pull covering three things: (1) repeat-order rate by pin code against the delivery-complaint list, (2) cohort-based 30/60/90-day retention curves for the last four quarters, and (3) a stage-by-stage abandonment funnel split by new vs. returning users. That will tell us definitively whether we're fixing a delivery-operations problem, a checkout-experience problem, or a data-interpretation problem — and building a fix before that risks solving the wrong one.**